

they fare well in sample, but horribly, horribly outside (even a trailing three-month past historical volatility or mean deviation will outperform a GARCH of higher orders).

Why the Nobel: Derman and Taleb (2005), Haug (2007).

Claude Bernard and experimental medicine: “*Empiricism pour le présent, avec direction a aspiration scientifique pour l’avenir.*” From Claude Bernard, *Principe de la médecine expérimentale*. See also Fagot-Largeault (2002) and Ruffié (1977). Modern evidence-based medicine: Ierodiakonou and Vandenbroucke (1993) and Vandenbroucke (1996) discuss a stochastic approach to medicine.